Answers to Statement of Financial Position and Cash Flow Statement

FOURTH: STATEMENT OF FINANCIAL POSITION

TASK ONE

Included in the December 31 trial balance of Rivera Company are the following assets.

Cash	$ 190,000
Work in process	$200,000
Equipment (net)	1,100,000
Receivables (net)	400,000
Prepaid insurance	41,000
Patents	110,000
Raw materials	335,000
Finished goods	170,000

Required:

Prepare the current assets section of the December 31 balance sheet

Answer:

Current Assets		
Cash		190,000
Receivables		400,000
Inventories		
Raw Material Inventory	335,000	
Work in process	200,000	
Finished Goods	170,000	705,000
Prepaid Insurance		41,000
Total Current Assets		**1336000**

TASK TWO

	Assets		**Liabilities and Stock holders' Equity**	
Current Assets			**Liabilities**	
Cash		112000	**Current Liabilities**	
Accounts Receivable		27000	Accounts Payable	25800
Supplies		3300	Salaries Payable	14500
Prepaid Rent		15,000	Interest Payable	2500
			Current maturity of long term debt	9000
Prepaid Insurance		9,000	**Total Current liabilities**	**51800**
Total Current Assets		**166300**		
Non Current Assets Property, Plant and Equipment			**Non current Liabilities**	
Land		500,000	Long term N/P	63,000
Office Equipment	38000		**Total Liabilities**	**114800**
Less Accumulated Depreciation	(3200)	34800	**Owner's Equity**	
Building	288000		Capital	500000
Accumulated Depreciation	(42000)	246000	Retained Earnings	532300
Copy right		200000		
Non Current Assets		**980800**		
Total Assets		**1147100**	**Liabilities and Equity**	**1147100**

TASK THREE

Bruno Company has decided to expand its operations. The bookkeeper recently completed the balance sheet presented on the current page in order to obtain additional funds for expansion.

Assets **Dec 31, 2021**

Assets	
Current assets	
Cash	$260,000
Accounts receivable	357,000
Inventories at cost	400,000
Trading securities—at cost	140,000
Non current assets	
Long term Investments	
Treasury Stocks	390,000
Land held for speculation	175,000
Property, plant, and equipment	
Building (cost)	500,000
Office equipment (market value)	190,000
Intangible assets	
Good will	80,000
Prepaid expenses (covering next year)	12,000
Liabilities and stockholders' Equity	
Current liabilities	
Accounts payable	135,000
Accrued rent expense	49,000
Long-term liabilities	
Notes Payable due next year	5000
Long term bank Loan	82000
Bonds payable	500000
Stockholders' equity	
Preferred Stock and Common stock (each $10.00 par, 10,000 shares preferred and 19,000 shares common	290,000
Additional paid-in capital	1,180,000
Retained earnings	???

Additional Information

- The cash balance is net of a bank overdraft of $20000 from a different bank where the cash account is deposited
- The bank loan includes an annual installment of $20,000 due next year
- Accumulated Depreciation on the building is $70,000
- Equipment had a cost of $200,000 and Accumulated Depreciation $40,000
- Allowance for Doubtful Accounts is 17000
- Trading securities have a fair market value of $120,000
- Inventory had a market value of 600,000

Required

1. Indicate your criticisms of the above statement of financial position (mention 10 mistakes) and briefly explain the proper treatment of the item being criticized.
2. Calculate the correct amount of current assets and current liabilities
3. Compute the company's working capital CA- CL

First: Mistakes in the balance sheet and their corrections

1. Cash overdraft should not be deducted from the cash balance, correct cash balance should be 280,000 and the bank overdraft should be recorded in the current liabilities section.
2. Trading securities should be recorded at fair value of 120,000 not at cost.
3. Prepaid expenses should be recorded as a current asset
4. Current portion of long term loans should be recorded as a current liability
5. Notes payable (due next year) should be recorded as a current liability
6. Preferred stocks should be recorded separately from common stocks
   Preferred Stocks should equal 10 *10,000
   Common Stocks should equal 10* 19,000
7. Treasury Stocks should be deducted in the equity section
8. AFDA should be deducted from Accounts Receivable=340,000– 17000
9. Buildings should be recorded at book value = cost – Accumulated Depreciation=570000 -70,000= 500,000
10. Equipment should be recorded at book value not market value

Note that

Second

Current Assets = Cash (280,000) +Short term investments (120,000) + Accounts Receivable (323,000) + Inventories (400,000) + Prepaid Expenses (12,000) = 1135,000
Current Liabilities= Bank overdraft (20,000) + Accounts payable (135,000) + Rent Payable (49,000) + Notes payable (5,000)+ Current maturity of the loan 20000 = 229,000

Third: Working Capital= Current Assets- Current liabilities

Working Capital= 1135,000 - 229,000 = 906,000

TASK FOUR

Presented below is a partial trial balance for the Messenger Corporation at December 31, 2021.

Account Title	Debits	Credits
Cash and cash equivalents	30,000	
Accounts receivable	195,000	
Raw materials inventory	36,000	
Notes receivable	120,000	
Interest receivable	4,000	
Interest payable		7,000
Investments	48,000	
Land	100,000	
Buildings	1,500,000	
Accumulated depreciation–buildings		740,000
Work in process inventory	38,000	
Finished goods inventory	98,000	
Equipment	400,000	
Accumulated depreciation–equipment		230,000
Franchise (net of amortization)	120,000	
Prepaid insurance (for the next year)	60,000	
Deferred revenue		48,000
Accounts payable		240,000
Notes payable		500,000
Salaries payable		6,000
Allowance for uncollectible accounts		24,000
Sales revenue		900,000
Cost of goods sold	500,000	
Salaries expense	48,000	

Additional information:

1. The notes receivable, along with any accrued interest, are due on November 1, 2022.
2. The notes payable are due in 2026. Interest is payable annually.
3. The investments consist of equity securities of other corporations. Management does not intend to sell any of the securities in the next year.
4. Deferred revenue will be recognized equally over the next 18 months

Required:

Determine the company's working capital (Current assets – current liab) at December 31, 2021.

Answer:

Current assets:		
Cash and cash equivalents		$30,000
Accounts receivable	$195,000	
Less: allowance for uncollectible accounts	(24,000)	171,000
Notes receivable		120,000
Interest receivable		4,000
Raw materials inventory		36,000
Work in process inventory		38,000
Finished goods inventory		98,000
Prepaid insurance		60,000
Total current assets		$557,000
Current liabilities:		
Deferred revenue (2/3 of $48,000)	32,000	
Accounts payable	240,000	
Salaries payable	6,000	
Interest payable	7,000	
Total current liabilities		(285,000)
Working capital		**$272,000**

TASK FIVE

The following is the 2019 balance sheet for the Nagoda Corporation does not conform with the accounting principles:

The Nagoda Corporation
Balance Sheet (Asset Portion Only)
December 31, 2019

Current Assets	
Cash after deducting a bank overdraft of ($5000)	46,500
Available-for-sale securities at cost (Fair value $159,800)	185,800
Accounts Receivable (gross value)	745,000
Inventories valued at replacement cost (cost equals 1,455,000)	1,800,000
Notes Receivable (will be paid in 2021)	310,000
Total Current Assets	**3,087,300**
Long term Investments	
Treasury Stocks	251,540
Trademarks	70,000
	321,540
Property, Plant and Equipment	
Land held for speculation	2,575,000
Buildings at (fair value)	3,475,540
Equipment at book value (less of Accumulated Depreciation)	332,100
Total Property, Plant and Equipment	**8,382,640**
Intangible Assets	
Goodwill (generated by the business since its beginning)	2,000,000
Investments in subsidiaries	450,000
Total Intangible Assets	**2,450,000**
Total Assets	**12,241480**

Additional information

1. Allowance for Doubtful accounts are 45000
2. Historical cost of the building is 3,000,000 and its accumulated depreciation is 50,000.
3. Equipment have an accumulated depreciation of 72,000

Required:

Find all the errors that you can notice (10 errors at least) in the asset portion of the balance sheet of Nagoda Corporation and explain how each error should be corrected according to the accounting principles

Current Assets	
Cash (bank overdraft should be recorded in current liabilities of ($5000)	51,500

Available-for-sale securities	159800
Accounts Receivable, net of AFDA of 45000	700,000
Inventories valued at Lower of cost or market	1,455,000
~~Notes Receivable (will be paid in 2021)~~	~~310,000~~
Total Current Assets	**2456300**
Long Term Investments	
Investment in subsidiaries	2575000
Land held for Speculation	
Notes Receivable	310,000
~~Treasury Stocks (should be deducted in the stockholders' equity sections)~~	~~251,540~~
~~Trademarks~~	~~70,000~~
Total Long term Investments	**2885000**
Property, Plant and Equipment	
~~Land held for speculation~~	~~2,575,000~~
Buildings at (Cost) 3000,000	
Less: Accumulated Dep (50,000)	2950,000
Equipment at book value (less of Accumulated Depreciation of 72000)	332,100
Total Property, Plant and Equipment	**2832100**
Intangible Assets	
~~Goodwill (generated by the business since its beginning) [should not be recorded]~~	~~2,000,000~~
~~Investments in subsidiaries~~	~~450,000~~
Trademarks	70000
Total Intangible Assets	**70,000**
Total Assets	**8243400**

TASK SIX

The following is a December 31, 2019 trial balance for the Weismuller Publishing Company

Account Title	Debits	Credits
Cash	65,000	
Accounts Receivable	160,000	
Inventories	285,000	
Prepaid Expenses	148,000	
Machinery and equipment	320,000	
Accumulated Depreciation Machinery		110,000
Investments	140,000	
A/payable		60,000
Interest Payable		20,000
Unearned Revenue		80,000
Taxes Payable		30,000
Notes Payable		200,000
Allowance for uncollectible accounts		16,000
Common Stock		400,000
Retained Earnings		202.000
Totals	1118000	1118000

Additional Information: 120,000 (50% C/A 50% Non current Assets) +28000C/A

1. Prepaid expenses include $120,000 paid on December 31, 2019, for a two year rent on the building.
   Prepaid exp 60,000 +28000=88000 Non 60,000
2. Investments include $30,000 in treasury bills purchased on November 30, 2019. The bills mature on January 30, 2020. The remaining $110,000 includes investments in marketable equity securities that the company intends to sell in the next year.
3. Unearned Revenues represent customer prepayments for magazine subscriptions for a period of less than one year.
4. The notes payable account consists of the following:
   a. $40,000 note in due in six months C/A
   b. $100,000 note due in six years. Non C/A
   c. $60,000 due in three annual installments of $20,000 each, with the next installment due August 31, 2020
5. The common stock account represents $400,000 shares of no par value common stock issued and outstanding, the corporation has 80,000 shares authorized.

Required:

Prepare a classified balance sheet for the Weimuller Publishing company at December 31, 2019

Account Title	Debits		Credits
Current Assets		Current Liabilities	
Cash	65,000+30000= 95000	A/payable	60,000
ST Investments	140000-30000 =110000	Interest Payable	20,000
Accounts Receivable	160,000	Unearned Revenue	80000
Less: AFDA	(16000)	Taxes Payable	30000
Inventories	285,000	Notes Payable	60000
Prepaid Expenses	88,000	Total Current liabilities	**250000**
Total Current Assets	**722000**		
Non Current Assets		Non Current Liabilities	
Property plant and Equipment		Long term N/P	**140000**
Machinery and equipment	320,000	Owner's Equity	
Accumulated Depreciation Machinery	(110000)	Common Stock	400,000
	210000	Retained Earnings	202000
Other Assets		Equity	**602000**
Prepaid Expenses	**60000**		
Total Assets	992,000	Liabilities and Equity	992000

Fifth: Cash flow statement

Notes that can help you

Concerning cash flows from operating activities

We start by net income then we

- Add: Depreciation exp (either directly given in the income statement or calculated by the difference in accumulated depreciation from beginning of the period to the end)
- Any increase in Current assets (A/R, Prepaid Exp, Inventory) will be subtracted.
- Any decrease in Current assets (A/R, Prepaid Exp, Inventory) will be added
- Any increase in current liabilities (A/P, Accrued exp, exp payable) will be added.
- Any decrease in current liabilities (A/P, Accrued exp, exp payable) will be subtracted

Cash flows from investing

- An increase in property, plant and equipment (Land, building, furniture, vans….) or any investment account, means we purchased, then this is a cash outflow (subtracted)
- A decrease in property, plant and equipment (Land, building, furniture, vans….) or any investment account, means we sold, then this is a cash inflow (added)

Cash flows from financing activities

- An increase in common stocks or bonds payable means we issued stocks or bonds, then this is a cash inflow that should be added.
- A decrease in common stocks or bonds payable means we purchased the stocks or paid the bonds, then this is a cash outflow that should be subtracted.
  Dividends always result in cash outflow that should be subtracted.

Exercises on Cash flow Statements

TASK ONE

The accounting records of Rockness Company provided the data below ($ in 000s).

Net income	$25,200
Depreciation expense	3,300
Decrease in accounts receivable	2,000
Increase in inventory	4,500
Increase in prepaid insurance	300
Increase in salaries payable	900
Decrease in interest payable	400

Required:
Prepare a reconciliation of net income to net cash flows from operating activities.

Net cash flows provided by operating activities=
25200 +3300+2000-4500-300+900-400= 26200

TASK TWO:

Martinez Corporation engaged in the following cash transactions during 2022.

Sale of land and building	$191,000
Purchase of treasury stock	40,000
Purchase of land	37,000
Payment of cash dividend	95,000
Purchase of equipment	53,000
Issuance of common stock	147,000
Retirement of bonds	100,000

Required:
a-Compute the net cash provided by investing activities.
+191000 -37000 -53000= 101,000
b-Compute the net cash used by financing activities
= -40000 -95000 +147000-100,000=-88000

TASK THREE :

Use the following income statement and information about selected current assets and current liabilities to calculate the net cash provided or used by operating activities using the indirect method.

PULLMAN COMPANY Income Statement For Year Ended December 31, Year 2		
Sales		$180,000
Cost of goods sold		104,000
Gross profit from sales		$ 76,000
Operating expenses:		
Salaries and wages expense	$25,000	
Depreciation expense	7,000	
Rent expense	7,200	
Interest expense	1,900	41,100
Income from operations		$ 34,900

Selected beginning and ending balances of current asset and current liability accounts, all of which relate to operating activities, are as follows:

	Balance	
	Dec. 31, Year 2	Dec. 31, Year 1
Accounts receivable	$27,600	$24,000
Merchandise inventory	22,300	20,000
Prepaid rent	550	400
Accounts payable	27,100	26,000
Salaries and wages payable	10,400	9,000
Interest payable	300	250

Cash flow from operations:

= net income 34900+Depreciation expense 7000 – Increase in A/R 3600 – Increase in inventory 2300 – Increase in prepaid rent 150 +Increase in A/P 1100 + Salaries payable 1400 +Increase in interest payable 50

TASK FOUR

A comparative balance sheet for Oprah Winfrey Company is presented below:

Assets	December 31, 2019	December 31, 2018=1/1/2019	Change
Cash	$43,000	22,000	21,000
Accounts Receivable	85,000	66,000	19000
Inventories	180,000	189,000	(9000)
Land	75,000	110,000	(35000)
Equipment	260,000	200,000	60000
Accumulated Depreciation	(66,000)	(42,000)	24000
Total	**617000**	**545,000**	
Liabilities and Stockholders' equity			
Accounts Payable	34,000	47,000	(13000)
Bonds Payable	150,000	200,000	(50000)
Common Stock	214,000	164,000	50,000
Retained Earnings	199,000	134,000	65000
Treasury stock	20000-	0	+20000
Total	**617,000**	**545,000**	

Additional information

Net income for 2019 was $105,000

Required:

Prepare a cash flow statement for the year ended December 31, 2019

Answer:

Cash flow statement for the year ended December 31, 2019	
Cash flow from operating activities	
Net income 110,000	105000
Adjustments to reconcile net income to net cashflows from operations	
+ Depreciation of equipment	24000+
Increase in A/R	-19000
Decrease in inventories	+9000
decrease in A/P	-13000
NCF provided by operating activities	106000
Cash flows from investing activities	
Cash proceeds from Sale of land	35000
Purchase of equipment	(60,000)
NCF (used) by investing activities	(25000)
Cash flows from financing activities	
Settlement of bonds	(50000)
Issuance of common stocks	50,000
Purchase of treasury stocks	(20,000)
Payment of dividends 105000- 65000	(40,000)
NCF provided (used) by financing activities	(60,000)
Net change in cash Balance	21000
+Beginning cash Balance	22000
=Ending Cash Balance	43000

TASK FIVE

The following is the financial data for Gully company

Assets	December 31, 2019	December 31, 2018	Change
Cash	54000	37000	17000
Accounts Receivable	68000	26000	42000
Inventories	54000	-0-	54000
Prepaid expenses	4000	6,000	-2000
Land	45000	70,000	-25000
Building	200,000	200,000	0
Accumulated Depreciation	(21000)	(11000)	+10,000
Equipment	193000	68000	+125,000
Accumulated Depreciation	(28000)	(10,000)	+18,000
Total	**569000**	**386000**	
Liabilities and Stockholders' equity			
Accounts Payable	23000	40,000	-17000
Accrued Expense payable	10,000	-0-	+10,000
Bonds Payable	110,000	150,000	-40,000
Common Stock	220,000	60,000	+160,000
Retained Earnings	206000	136,000	70,000
Total	**569,000**	**386000**	

Additional Information:

Net Income for the period is 125000

Required: Prepare a cash flow statement for the year 2019

Cash flow statement for the year ended December 31, 2019	
Cash flow from operating activities	
Net income	125000
Adjustments to reconcile net income to net cashflows from operations	
Depreciation Expense-Building	10000+
Depreciation Expense Equipment	18000+
Increase in Accounts Receivable	-42000
Increase in inventories	-54000
Increase in prepaid expenses	+2000
Decrease in Accounts Payable	-17000
Increase in accrued expenses payable	+10,000
Cash flows provided by operating activities	17000
Cash flows from investing activities	
Cash proceeds from sale of land	25000
Purchase of equipment	-125000
Net Cash flows used by investing activities	-65,000
Cash flows from financing activities	
Settlement of bonds	-40,000
Issuance of Common Stocks	160,000
Payment of Dividends	-55000
NCF provided by financing activities	65000
Change in cash balance	+17000

TASK FIVE

The following is a comparative balance sheet for Anne Boleyn Corporation:

	December 31	
Assets	**2018**	**2017**
Cash	$69,000	22,000
Accounts Receivable	82,000	66,000
Inventories	180,000	189,000
Land	75,000	110,000
Equipment	260,000	200,000
Accumulated Depreciation-equipment	(69,000)	(42,000)
Total	**597,000**	**545,000**
Liabilities and Stockholders' Equity		
Accounts Payable	$34,000	47,000
Bonds Payable	150,000	200,000
Common Stock	214,000	164,000
Retained Earnings	199,000	134,000
Total	**597,000**	**545,000**

Additional Information

Change in R/E +65000 = Net income 115000 – dividends

Dividends = 115000 -65000= 50000

1. Net income for 2018 was $115,000
2. Cash Dividends of $50,000 were declared and paid
3. Bonds Payable amounting to $50,000 were retired through the issuance of common stock

Required:

Prepare a statement of cash flows for 2018 for Anne Boeyn Corpration

Cash flow statement

For the year ended December 31, 2018

Cash flows from operating activities	
Net Income	115000
+ Adjustments to reconcile net income to cash flows from operating activities	
Dep exp	27000
Increase in A/R	-16000
Decrease in inventory	+9000
Dec in Accounts Pay	-13000
NCF provided by operating activities	122000
Cash flows from Investing Activities	
Cash proceeds from Sale of land	35000
Purchase of equipment	(60,000)
NCF used by investing act	(25000)
Cash flows from financing activities	
Payments of Dividends	(50000)
Change in cash balance	+47000
Add: Beginning Cash Balance	22,000
Ending Cash Balance	**69,000**

Transaction 3 is a non cash transaction is not recorded in the cash flow statement

MULIPLE CHOICE QUESTIONS

Choose the Correct Answer

1. Which of the following is a limitation of the balance sheet?
   a. Many items that are of financial value are omitted.
   b. Judgments and estimates are used.
   c. Current fair value is not reported.
   d. All of these

   Answer: d

2. The statement of financial position is useful for analyzing all of the following **except**
   a. Liquidity.
   b. Profitability.
   c. Solvency.
   d. Financial flexibility.

Answer: b

3. The current assets section of the balance sheet should include
   a. Machinery.
   b. Goodwill.
   c. Patents.
   d. Inventory.

   Answer: d

4. Which of the following should **not** be considered as a current asset in the balance sheet?
   a. Installment notes receivable due over 10 months in accordance with normal trade practice.
   b. Prepaid taxes which cover assessments of the following operating cycle of the business.
   c. Equity or debt securities purchased for trading.
   d. The cash surrender value of a life insurance policy carried by a corporation on its president.

Answer: d

5. Which item below is ***not*** a current liability?
   a. Unearned revenue
   b. The currently maturing portion of long-term debt
   c. Accounts receivable
   d. Trade accounts payable

Answer: c

6. An example of an item which is **not** an element of working capital is
   a. Accrued interest on notes receivable.
   b. Goods in process.
   c. Goodwill.
   d. Trading investments.

   Answer: c

7. Company had assets of $100,000 and liabilities of $60,000. What is the balance of stockholders' equity?
   a. $0
   b. $60,000.
   c. $40,000
   d. $100,000

Answer: c

8. Treasury stock should be reported as a(n)
   a. Current asset.
   b. Other asset.
   C. Investment.
   D. Reduction of stockholders' equity.

   Answer: d

9. Which of the following is ***not*** an acceptable major asset classification?
   a. Current assets
   b. Property, plant, and equipment
   c. Long-term investments
   d. Deferred charges

Answer: d

10. Which of the following is a contra account?
   a. Premium on bonds payable
   b. Patents
   c. Unearned revenue
   d. Accumulated depreciation

Answer : d

11. In preparing a statement of cash flows, sale of treasury stock would be classified as a(n)
   a. Operating activity.
   b. Extraordinary activity.
   c. Financing activity.
   d. Investing activity.

Answer: c

12. In preparing a statement of cash flows, which of the following transactions would be considered an investing activity?
   a. Sale of equipment
   b. Payment of a cash dividend
   c. Sale of merchandise on credit
   d. Issuance of bonds payable at a discount

Answer: a
13. For Grimmett Company, the following information is available:
Goodwill $200,000 Trademarks 65,000 Long-term receivables 75,000
In Grimmett's balance sheet, intangible assets should be reported at
   a. $65,000.
   b. $265,000.
   c. $75,000.
   d. $275,000.

Answer: b

14. Houghton Company has the following items: common stock, $720,000; treasury stock, $85,000; Taxes payable $100,000 and retained earnings, $313,000. What total amount should Houghton Company report as stockholders' equity?
   a. $848,000.
   b. $1,048,000.
   c. $948,000.
   d. $1,118,000.

Answer: Common stock 720,000 – Treasury stock 85,000 +R/E 313,000=c

15. Which of the following is **not** a major characteristic of a plant asset?
    a. Possess physical substance
    b. Acquired for use
    c. Acquired for resale
    d. Long-term in nature

Answer: c

16. Stine Corp.'s trial balance reflected the following account balances at December 31, 2010:

Accounts receivable (net)	$24,000
Trading securities	6,000
Accumulated depreciation on equipment and furniture	15,000
Cash	11,000
Inventory	30,000
Equipment	25,000
Patent	4,000
Prepaid expenses	2,000
Land held for future business site	18,000

In Stine's December 31, 2010 balance sheet, the current assets total is
    a. $90,000.
    b. $77,000.
    c. $82,000.
    d. $73,000.

Answer: A/R 24,000 + trading securities 6000 + cash 11000 + inventory 30,000 + prepaid exp 2000= 73000 d

17.Kinder Company purchased equipment for $210,000 on 1/1/2015. The estimated residual value is $10,000, and the estimated useful life is 10 years. The straight line method is used for depreciation. (210000-10000)/10
What is the annual depreciation expense on this asset?
    a. $19,000
    b. $22,000
    c. $20,000
    d. $190,000

Answer : annual dep exp = [210,000- 10000]/10= 20000 [c]

Annual dep = (cost -residual value)/UL

18. Refer to the previous problem, the book value of the equipment at end of the third year is:

    a. $180,000
    b. $ 170,000
    c. $200,000
    d. $150,000

Answer : Book value = cost 210000 – [Acc dep for 3 years 60,000]= 150,000 [d]

19-The primary difference between revenues and gains is:

A. Gains are increases in net assets from peripheral activities while revenues are increases from ongoing activities.

B. Revenues increase operating income and gains have no impact on net income.

C. Revenues cause increases in net assets as a result of peripheral activities and gains cause increases through ongoing activities.

D. Gains result in an increase in operating income whereas revenues do not impact operating income.

Answer: A

20. Lanz company has provided the following information

Cash Sales totaled $255,000	Credit Sales totaled $479,000
Cash collections from customers for services to be provided =$88,000	
A $22,000 loss from the sale of property, plant and equipment occurred	
Interest income was $7,700	Interest Expense was $19,900
Cost of Goods Sold $336,000	Rent Expense was 36,000
Salaries Expense was $49,000	Other operating expenses totaled $79,00
Unearned Revenue $4000	

Lantz Company has provided the following information:

How much was Lantz's operating income?

A. 219,700	B. 322,000	C.199,800	D.234,000

Answer: Revenues [255000 +479000]- Expenses[336000 +49000+ 36000+79000]= d

Extra exercises

Verity Siding Company, owned by S. Verity, began operations in May and completed the following transactions during that first month of operations. Show the effects of the transactions on the accounts of the accounting equation by recording increases and decreases in the appropriate columns in the table below. Do not determine new account balances after each transaction. Determine the final total for each account and verify that the equation is in balance.

May	1	S. Verity invested $90,000 cash in the company.
	2	The company purchased $25,000 in office equipment. It paid $10,000 in cash and signed a note payable promising to pay the $15,000 over the next three years.
	2	The company rented office space and paid $3,000 for the May rent.
	6	The company installed new vinyl siding for a customer and immediately collected $5,000.
	7	The company paid a supplier $2,000 for siding materials used on the May 6 job.
	8	The company purchased a $2,500 copy machine for office use on credit.
	9	The company completed work for additional customers on credit in the amount of $16,000.
	15	The company paid its employees' salaries $2,300 for the first half of the month.
	17	The company installed new siding for a customer and immediately collected $2,400.
	20	The company received $10,000 in payments from the customers billed on May 9.
	28	The company paid $1,500 on the copy machine purchased on May 8. It will pay the remaining balance in June.
	31	The company paid its employees' salaries $2,400 for the second half of the month.
	31	The company paid a supplier $5,300 for siding materials used on the remaining jobs completed during May.
	31	The company paid $450 for this month's utility bill.

VERITY SIDING CO.									
	Assets =					Liabilities +	Equity		
Date		Accounts		Accounts	Notes	S. Verity	S. Verity		
May	**Cash**	**Receivable**	**Equipment**	**Payable**	**Payable**	**Capital**	**Withdrawals**	**Revenues**	**Expenses**
1									
2									
2									
6									
7									
8									
9									
15									
17									
20									
28									
31									
31									
31									
	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -

Answer:

			Assets =			Liabilities +		Equity	
Date May	**Cash**	**Accounts Receivable**	**Equipment**	**Accounts Payable**	**Notes Payable**	**S. Verity Capital**	**S. Verity Withdrawals**	**Revenues**	**Expenses**
1	90,000					90,000			
2	(10,000)		25,000		15,000				
2	(3,000)								(3,000)
6	5,000							5,000	
7	(2,000)								(2,000)
8			2,500	2,500					
9		16,000						16,000	
15	(2,300)								(2,300)
17	2,400							2,400	
20	10,000	(10,000)							
28	(1,500)			(1,500)					
31	(2,400)								(2,400)
31	(5,300)								(5,300)
31	(450)								(450)
	80,450	6,000	27,500	1,000	15,000	90,000	-	23,400	(15,450)

Multiple Choice Questions:

1-If a company uses $1,300 of its cash to purchase supplies, the effect on the accounting equation would be:
A) Assets increase $1,300 and liabilities decrease $1,300.
B) One asset increases $1,300 and another asset decreases $1,300, causing no effect.
C) Assets decrease $1,300 and equity decreases $1,300.
D) Assets decrease $1,300 and equity increases $1,300.
E) Assets increase $1,300 and liabilities increase $1,300.

Answer: B

2- If a company receives $12,000 from the owner to establish a proprietorship, the effect on the accounting equation would be:
A) Assets decrease $12,000 and equity decreases $12,000.
B) Assets increase $12,000 and liabilities decrease $12,000.
C) Assets increase $12,000 and liabilities increase $12,000.
D) Liabilities increase $12,000 and equity decreases $12,000.
E) Assets increase $12,000 and equity increases $12,000.

Answer: E

3- An example of a financing activity is:
A) Buying office supplies.
B) Obtaining a long-term loan.
C) Buying office equipment.
D) Selling inventory.
E) Buying land.
Answer: B

4- An example of an operating activity is:
A) Paying wages.
B) Purchasing office equipment.
C) Borrowing money from a bank.
D) Selling stock.
E) Paying off a loan.
Answer: A

5- Net Income:
A) Decreases equity.
B) Represents the amount of assets owners put into a business.
C) Equals assets minus liabilities.
D) Is the excess of revenues over expenses.
E) Represents owners' claims against assets.

Answer: D

6- If equity is $300,000 and liabilities are $192,000, then assets equal:
A) $108,000.
B) $192,000.
C) $300,000.
D) $492,000.
E) $792,000.

Answer: D

7-The difference between a company's assets and its liabilities, or net assets is:
A) Net income.
B) Expense.
C) Equity.
D) Revenue.
E) Net loss.

Answer: C

8- When expenses exceed revenues, the result is called:
A) Net assets.
B) Negative equity.
C) Net loss.
D) Net income.
E) A liability.

Answer: C

9- A resource that the owner takes from the company is called a(n):
A) Liability.
B) Withdrawal.
C) Expense.
D) Contribution.
E) Investment.

Answer: B

10- On May 31 of the current year, the assets and liabilities of Riser, Inc. are as follows: Cash $20,500; Accounts Receivable, $7,250; Supplies, $650; Equipment, $12,000; Accounts Payable, $9,300. What is the amount of owner's equity as of May 31 of the current year?
A) $49,700.
B) $13,050.
C) $20,500.
D) $31,100.
E) $40,400.

Answer: D

11- Saddleback Company paid off $30,000 of its accounts payable in cash. What would be the effects of this transaction on the accounting equation?
A) Assets, $30,000 increase; equity, $30,000 increase.
B) Assets, $30,000 decrease; liabilities, $30,000 decrease.
C) Assets, $30,000 decrease; liabilities, $30,000 increase.
D) Liabilities, $30,000 decrease; equity, $30,000 increase.
E) Assets, $30,000 decrease; equity $30,000 decrease.

Answer: B

12-If Houston Company billed a client for $10,000 of consulting work completed, the accounts receivable asset increases by $10,000 and:
A) Accounts payable decreases $10,000.
B) Accounts payable increases $10,000.
C) Cash increases $10,000.
D) Revenue increases $10,000.
E) Revenue decreases $10,000
Answer: D

13- If the assets of a business increased $89,000 during a period of time and its liabilities increased $67,000 during the same period, equity in the business must have:
A) Increased $22,000.
B) Decreased $22,000.
C) Increased $89,000.
D) Decreased $156,000.
E) Increased $156,000.
Answer: A

14-If a company failed to make the end-of-period adjustment to move the amount of management fees that were earned from the Unearned Management Fees account to the Management Fees Revenue account, this omission would cause:
A) An overstatement of net income.
B) An overstatement of assets.
C) An overstatement of liabilities.
D) An overstatement of equity.
E) An understatement of liabilities.
Answer: C

15- A company records the fees for legal services paid in advance by its clients in an account called Unearned Legal Fees. If the company fails to make the end-of-period adjusting entry to move the portion of these fees that has been earned to a revenue account, one effect will be:
A) An overstatement of equity.
B) An understatement of equity.
C) An understatement of assets.
D) An understatement of liabilities.
E) An overstatement of assets.

Answer: B

16- Accrued revenues:

A) At the end of one accounting period result in cash *receipts* in a future period.
B) At the end of one accounting period often result in cash *payments* in the next period.
C) Are also called unearned revenues.
D) Are listed on the balance sheet as liabilities.
E) Are recorded at the end of an accounting period because cash has already been received for revenues earned.

Answer: A

17- The total amount of depreciation recorded for an asset for all periods for which an asset has been used:
A) Is referred to as depreciation expense.
B) Is referred to as accumulated depreciation.
C) Is shown on the income statement of the final period.
D) Is only recorded when the asset is disposed of.
E) Is referred to as an accrued asset.

Answer: B

18- The periodic expense created by allocating the cost of plant and equipment to the periods in which they are used, representing the expense of using the assets, is called:
A) Accumulated depreciation.
B) A contra account.
C) The expense recognition (matching) principle.
D) Depreciation expense.
E) An accrued account.
Answer: D

19- On April 1, a company paid the $1,350 premium on a three-year insurance policy with benefits beginning on that date. What amount of the insurance expense will be reported on the annual income statement for the year ended December 31?
A) $1,350.00.
B) $450.00.
C) $1,012.50.
D) $337.50.
E) $37.50.

Answer: D

20) On July 1, a company paid the $2,400 premium on a one-year insurance policy with benefits beginning on that date. What will be the insurance expense on the annual income statement for the first year ended December 31?
A) $1,200.
B) $2,400.
C) $1,000.

D) $400.
E) $1,400.

Answer: A

21) A company had no office supplies available at the beginning of the year. During the year, the company purchased $250 worth of office supplies. On December 31, $75 worth of office supplies remained. How much should the company report as office supplies expense for the year?
A) $75.
B) $125.
C) $175.
D) $250.
E) $325.

Answer: C

22-Use the following information and the indirect method to calculate the net cash provided or used by operating activities:

Net income	$ 85,300
Depreciation expense	12,000
Increase in merchandise inventory	2,050
Increase in accounts payable	6,150

A) $69,900.
B) $101400.
C) $93,900.
D) $85,700.
E) $81,600.

23- In preparing a company's statement of cash flows using the indirect method, the following information is available:

Net income	$ 52,000
Accounts payable increased by	18,000
Accounts receivable decreased by	25,000
Inventories increased by	5,000
Depreciation expense	30,000

Net cash provided by operating activities was:
A) $120,000.
B) $60,000.
C) $70,000.
D) $80,000.
E) $130,000.

Answer: A

Explanation:

Net income	$ 52,000
Depreciation exp.	30,000
Decrease in A/R	25,000
Increase in Inventories	(5,000)
Increase in A/P	18,000
	$ 120,000

24- Analysis reveals that a company had a net increase in cash of $20,000 for the current year. Net cash provided by operating activities was $18,000; net cash used in investing activities was $10,000 and net cash provided by financing activities was $12,000. If the year-end cash balance is $24,000, the beginning cash balance was:
A) $4,000.
B) $16,000.
C) $44,000.
D) $40,000.
E) $39,000.

Answer: A

25) In preparing a company's statement of cash flows using the indirect method, the following information is available:

Net income	$ 52,000
Accounts payable decreased by	18,000
Accounts receivable increased by	25,000
Inventories increased by	5,000
Depreciation expense	30,000

Net cash provided by operating activities was:
A) $34,000.
B) $60,000.
C) $70,000.
D) $80,000.
E) $52,000.

Answer: A
Explanation:

Net income	$ 52,000
Depreciation exp.	30,000
Increase in A/R	(25,000)
Increase in Inventories	(5,000)
Decrease in A/P	(18,000)
	$ 34,000

38-Match the following terms with the appropriate definition.
A. Plant assets

B. Owner's capital
C. Classified balance sheet
D. Intangible assets
E. Current ratio
F. Closing entries
G. Current liabilities
H. Long-term investments
I. Current assets
J. Unclassified balance sheet

____ 1. The owner's claim on the assets of a company.
____ 2. Tangible assets that are long-lived and used to produce or sell products or services.
____ 3. Cash and other resources that are expected to be sold, collected, or used within one year or the company's operating cycle, whichever is longer.
____ 4. Entries recorded at the end of each accounting period to transfer end-of-period balances in
revenue, expense, and withdrawals accounts to the permanent owner's capital account.
____ 5. Long-term resources that benefit business operations, usually lack physical form, and have uncertain benefits.
____ 6. Assets that are held for more than the longer of one year or the operating cycle of the company and are not used in operations.
____ 7. A balance sheet that organizes the assets and liabilities into important subgroups.
____ 8. Obligations due to be paid or settled within one year or the operating cycle of a business, whichever is longer.
____ 9. A balance sheet that broadly groups items into assets, liabilities and equity.
____10. A ratio that is used to help evaluate a company's ability to pay its short-term obligations,
calculated by dividing current assets by current liabilities.
Answer: 1. B; 2. A; 3. I; 4. F; 5. D; 6. H; 7. C; 8. G; 9. J; 10, E

39 -Indicate the typical classification of each item below by placing the letter of the correct balance sheet category a through g in the blank space next to the item.

1) ____ Equipment used in business operations
2) ____ Store Supplies
3) ____ Investment maturing in two years
4) ____ Long-term Note Payable
5) ____ Prepaid Rent
6) ____ D. Flanders, Capital

7) ____ Accounts Payable
8) ____ Current portion of long-term debt
9) ____ Trademarks
10) ____ Wages Payable
11) ____ Accounts Receivable
12) ____ Cash

Classified balance sheets commonly include the following categories.
a. Current assets
b. Long-term investments
c. Plant assets
d. Intangible assets
e. Current liabilities
f. Long-term liabilities
g. Equity.

Answer: 1. C; 2. A; 3. B; 4. F; 5. A; 6. G; 7. E; 8. E; 9. D; 10. E; 11. A; 12. A

Practice Exercises

1-The following December 31 year-end adjusted trial balance is for Heath Wilmer Co.. The credit balance in Heath Wilmer, Owner Capital at the beginning of the year, January 1, was $320,000. The owner, Heath Wilmer, invested an additional $300,000 during the current year. The land held for future expansion was also purchased during the current year.

Heath Wilmer Co.
Adjusted Trial Balance
December 31

Cash	$ 90,000	
Accounts receivable	18,000	
Prepaid insurance	6,000	
Office supplies	2,000	
Investments in stocks	150,000	
Land held for future expansion	300,000	
Office equipment	18,000	
Accumulated depreciation–Equipment		$4,000
Building	600,000	
Accumulated depreciation–Building		170,000
Intangible assets–licensing agreement	50,000	
Accounts payable		17,800
Salaries payable		16,400
Long-term note payable		224,000
Heath Wilmer, Capital		620,000
Heath Wilmer, Withdrawals	60,000	
Service fees earned		470,800
Salaries expense	180,000	
Insurance expense	12,000	
Rent expense	25,000	
Depreciation expense–Equipment	2,000	
Depreciation expense–Building	10,000	
Totals	$1,523,000	$1,523,000

Required:
Prepare a classified year-end balance sheet. (Note: A $22,000 installment on the long-term note payable is due within one year.)

Answer:

Heath Wilmer Company
Classified Balance Sheet
December 31

Assets			
Current assets			
Cash		$ 90,000	
Accounts receivable		18,000	
Prepaid insurance		6,000	
Office supplies		2,000	
Total current assets			$116,000
Long-term investments			
Investments in stocks		$150,000	
Land held for future expansion		300,000	
Total long-term investments			450,000
Plant assets			
Office equipment	$ 18,000		
Less: accumulated depreciation	4,000	$14,000	
Building	600,000		
Less: accumulated depreciation	170,000	430,000	
Total plant assets			444,000
Intangible assets–licensing agreement			50,000
Total assets			$1,060,000
Liabilities			
Current liabilities			
Accounts payable		$17,800	
Salaries payable		16,400	
Current portion of long-term debt		22,000	
Total current liabilities			$ 56,200
Long-term liabilities			
Long-term note payable			202,000
Total liabilities			$ 258,200
Equity			
Heath Wilmer, Equity			801,800
Total liabilities and equity			$1,060,000

Net income $470,800 - $180,000 - $12,000 - $25,000 - $2,000 - $10,000 = $241,800
Ending Equity = $620,000 + $241,800 - $60,000 = $801,800

2 – The following is a one step income statement for lake wood Inc.

Lakewood Inc.
Income Statement
For the Year Ended December 31, 2021

Revenues and gains:		
Sales revenue	$1,800,000	
Gain on sale of investments		50,000
Interest revenue	80,000	
Total revenues and gains		1,930,000
Expenses and losses:		
Cost of goods sold	$1,100,000	
Selling expense	220,000	
General and administrative expense		200,000
Interest expense	40,000	
Loss on inventory write-down	30,000	
Total expenses and losses		1,590,000
Income before income taxes	340,000	
Income tax expense	85,000	
Net income	255,000	
Earnings per share:	$2.55	

Required: Prepare a multiple-step income statement with earnings per share disclosure.

Answer:

Lakewood Inc.
Income Statement
For the Year Ended December 31, 2021

Sales revenue	$1,800,000	
Cost of goods sold		1,100,000
Gross profit	700,000	
Operating expenses:		
Selling expense	$220,000	
General and administrative expense		200,000
Loss on inventory write-down		30,000
Total operating expenses		450,000
Operating income	250,000	
Other income (expense):		
Gain on sale of investments	50,000	
Interest revenue	80,000	
Interest expense	(40,000)	
Total other income, net		90,000
Income before income taxes	340,000	
Income tax expense	85,000	
Net income	255,000	
Earnings per share	$2.55	

3- World Services Inc. has provided the following information pertaining to the month ended October 31, 2022:

Sales revenue	$100,000		Supplies expense	$1,500
Interest expense	6,900		Rent expense	4,000
Cost of goods sold	60,000		Salaries expense	9,500
Dividends paid	5,000		Utilities expense	1,100
Advertising expense	4,500		Loss on sale of land	3,200
Dividends declared	7,100		Income tax expense	3,800
Unearned revenues	6,100			

Required:

Prepare a multiple income statement for the month ended October 31, 2022.

Sales Revenue		100,000
Less: Cost of Goods Sold		60,000
=Gross Profit		**40,000**
Less: Operating Expenses		
Advertising Expense	4500	
Supplies Expense	1,500	
Rent Expense	4,000	
Salaries Expense	9,500	
Utilities Expense	1,100	(20,600)
Operating Income		**19,400**
Other Income (Expense)		
Loss on sale of land		(3200)
EBIT		16,200
Interest expense		(6900)
Earnings Before Taxes		**9300**
-Income tax expense		(3800)
Net Income		**5500**

4- McEntire Corporation began operations on January 1, 2019. During its first 3 years of operations, McEntire reported net income and declared dividends as follows.

	Net Income	Dividends Declared
2019	$40,000	-0-
2020	125,000	50,000
2021	160,000	50,000

The following information relates to 2022.

Income before income tax	$220,000
Dividends declared (of this amount, $25,000 will be paid on Jan. 15, 2023)	$100,000
Effective tax rate	40%

Instructions: Prepare a 2022 retained earnings statement for McEntire Corporation

Answer:

Beginning Balance Retained Earnings: Income retained from 2019 +2020 +2021=

[40,000 -0] + [125000-50,000]+[160,000-50,000]= **225,000**

Retained earnings account=

Beginning Retained Earnings Balance =	**225000**
Net income = 220,000 x 60% =	**132000**
Dividends Declared	**(100,000)**
Retained Earnings December 31, 2022	**257,000**